

Revenue Leakage Analysis

Beauty & Personal Care E-Commerce | Jan 2023 – Jun 2024

SITUATION

The business reported 18% YoY growth in monthly active users, but net revenue remained flat despite rising marketing spend, aggressive discounting, and increasing return rates. This analysis investigates where revenue leakage is occurring across customer acquisition economics, discounting strategy, product returns, and geographic and category-level behavior — across a dataset of 50,000 orders spanning 18 months.

KEY FINDINGS

Finding 1 — Discounting is destroying margin faster than it is driving growth

Revenue leakage from discounts alone reached Rs. 1.32 crore, equivalent to 18.96% of GMV. Return rates increased sharply from 5.86% on low-discount orders to 32.05% on Very High discount orders — a 5.5x gap — confirming that aggressive discounting is driving impulse purchases and subsequent returns. Effective margin on Very High discount orders collapses to 39.21% after refunds.

Finding 2 — Medium discount orders are the largest hidden revenue risk

While Very High discount orders had the worst effective margin at 39.21%, the Medium discount bucket generated the largest absolute refund leakage at Rs. 29.6L across 20,544 orders. This segment combines the highest order volume with significant return leakage, making it the single biggest profitability issue on the platform — not the extreme discounting tier.

Finding 3 — Customer acquisition growth is economically unsustainable

Influencer and Paid Social channels together contributed 55% of acquired customers, but both operate below 1x LTV:CAC — at 0.52x and 0.58x respectively. The company is acquiring the majority of its customer base at a net loss. No acquisition channel currently qualifies as Healthy (3x+ LTV:CAC).

Blended platform LTV:CAC stands at 0.94x, meaning every rupee spent on acquisition returns 94 paise.

Finding 4 — Returns are largely behaviorally and operationally fixable

The top return reasons were "Did Not Like It" (1,244 cases), "Quality Not As Expected" (1,124), and "Changed Mind" (933). Return rates are consistent across all product categories (13.7–14.4%) and all city tiers (13.9–14.5%), confirming the problem is not product-specific but driven by platform-wide discounting behavior, weak pre-purchase expectation setting, and fulfillment quality gaps.

RECOMMENDATIONS

- 1. Reduce deep discounting immediately.** Cap platform-wide discount campaigns at 25% and introduce targeted discounting by customer segment rather than blanket promotions. Current strategy creates margin-destroying impulse purchases with high return follow-through.
- 2. Pause or sharply reduce Influencer and Paid Social spend.** Both channels are Loss Making at LTV:CAC below 1x. Freeze incremental spend pending a full retention and return-behavior audit of customers acquired through these channels.
- 3. Reallocate acquisition budget to Email, Organic Search, and App Push.** These channels operate near break-even at significantly lower CAC. Even a 20-30% budget reallocation from loss-making channels would improve blended acquisition economics within one quarter.
- 4. Launch a structured return-reduction programme.** Prioritise supplier quality audits, stricter dispatch verification, ingredient transparency on product pages, and improved size or shade matching tools. These address the top fixable return reasons directly.

ESTIMATED IMPACT

Reducing return rates by 5 percentage points across the Medium and High discount buckets would recover approximately Rs. 18-22L in refund leakage annually. Reallocating 30% of Influencer and Paid Social budget toward Email and App Push channels would reduce blended CAC by an estimated 40-50%, improving platform LTV:CAC from 0.94x toward the 1.5-2x range within two quarters — moving the company out of loss-making acquisition economics and onto a path toward sustainable revenue growth.